

Town of Lunenburg

FY 2023 Preliminary Budget, Town Manager Recommendation

February 15, 2022

Heather R. Lemieux, Town Manager

FY2023 Budget Timeline to Date

- Capital Planning Committee began in September 2021, met with departments in November and December 2021
- Town Manager sent target budgets to departments in December 2021 due back on January 12, 2022
- The Capital Planning Committee finalized the prioritization of projects for the FY23 Capital Plan on January 4, 2022
- Town Manager presented the FY23 Capital Plan and FY23-FY27 Five Year Financial Forecast in January
- As required by the Town Charter, the Town Manager presents a Preliminary FY23 Budget by mid-February

Preparing the FY2023 Recommendation

- Goal was to create a balanced budget that funds operating budgets using recurring revenues at current service levels with some exceptions.
- Original target budget used in December and preliminary budget use conservative revenue projections.
- Meets the Town's Financial Policies
- Smart Growth to ensure Long Term Fiscal Sustainability
- Certified Free Cash not used on operating budget and abides by the Town's Financial Policies:
 - **\$1,000,000 Free Cash** towards Capital Items;
 - **\$266,696 of Free Cash** towards OPEB liability costs (10% of previous year's certified free cash);
 - **\$100,000 of Free Cash** deposited into the regular Stabilization Account per the policy.
 - **\$250,000 of Free Cash** deposited into the Special Purpose Stabilization Account.

FY2023 Target Budget

FY2023 Target Budget

- On the Revenue side:
 - **Property Taxes:** Included adding 2 ½ % to previous year's levy, \$213,540 for New Growth, and debt exclusion amounts.
 - **State Aid:** Level funded State Aid based on the FY22 State Aid figures that were approved in July 2021.
 - **Local Receipts:** Included a \$50,000 increase over previous FY's estimate for Motor Vehicle Excise Taxes but level funded all other local receipts.
 - **Other available funds:** Target budget did not address use of Free Cash. Other sources of available funds similar to the previous fiscal year sources.

FY2023 Target Budget

- On the Expenditure side:
 - Level funded Cherry Sheet Offsets, State & County Charges and Choice/Charter Assessments using FY22 amounts
 - Departments were sent target budgets in December that included all known contractual increases and level funded other expense categories except:
 - Included costs associated for .5 FT Patrolman and Career Firefighter/Paramedic
 - Additional \$50K for Pavement Management
 - Known Principal and Interest debt payments for FY23
 - Included a 8% rate increase for Health Insurance for active employees and a 5% rate increase for retirees
 - 5% Increase for General Insurances
 - Included a 10% increase for Worc. County Retirement
 - Included 2.5% increase for LPS and Monty Tech

FY2023 Preliminary Budget Vs. Target Budget: Assumptions and “Unknowns”

- **Revenues:**

- State Aid (Governor’s Budget Proposal); Governor’s proposal is an overall increase of **10% (+\$949,734 than target)**
- New Growth: Assumes **\$213,523**; continue to monitor and adjust if needed

- **Expenditures:**

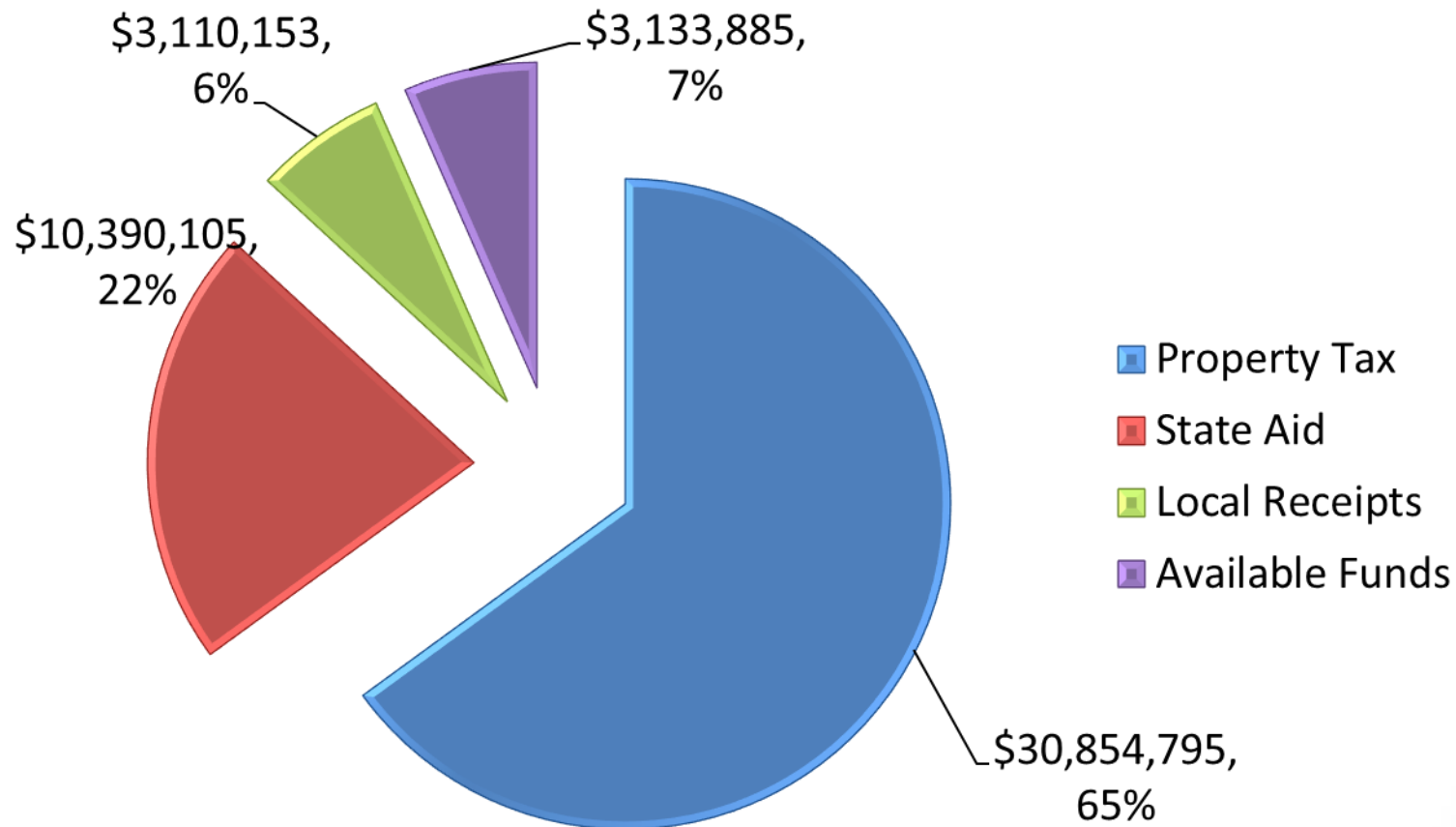
- Cherry Sheet Offsets and State Assessments: Uses the Governor’s figures
- Health Insurance: Assumes a **6 %** rate increase for active employees and **5%** rate increase for retirees. Actual Health insurance renewal received in early March.
- Liability and WC Insurance: Assumes a **5%** increase. Renewals are received in late March. Police and Fire IOD: Level funded.
- Monty Tech Assessment: Includes a **21%** increase; assessments received by the beginning of March
- Annual Town Meeting articles that will require funding

FY 2023 Revenues

FY2023- Projected Revenues

• Property Tax	\$ 30,854,795
• State Aid	\$ 10,390,105
• Local Receipts	\$ 3,110,153
• Other Avail. Funds	\$ 3,133,885
• Total	\$47,488,938

FY2023- Revenue Estimates



FY2023 Revenue Estimates

	FY21	FY22	FY23 TM	Dollar Increase	% Increase
	Final	Final	Prelim. Budget	Over PY	over Prior Year
Revenue					
Property Tax*	\$28,896,249	\$29,959,876	\$30,854,795	\$894,919	2.99%
State Aid	\$ 9,427,619	\$ 9,440,371	\$ 10,390,105	\$949,734	10.06%
Local Receipts	\$ 3,600,669	\$ 3,060,153	\$ 3,110,153	\$50,000	1.63%
Available Funds**	\$ 2,427,555	\$ 3,089,126	\$ 3,133,885	\$44,759	1.45%
total:	\$44,352,093	\$45,549,526	\$47,488,938	\$1,939,412	4.26%
*Property Tax includes starting tax levy, 2 1/2%, New Growth, Excludable Debt					
**Available funds will fluctuate mainly due to use of free cash.					

Noteworthy highlights:

- State Aid, which is based on the Governor's FY23 proposal, is much greater than the FY22 increase
- Estimate for local receipts remains conservative as these are elastic revenues
- Available funds is similar to the previous fiscal year.

FY 2023- Property Tax

- Property Tax:
 - Prior Year base (\$27,131,063) plus 2 ½% increase (\$678,277)
 - Estimate for New Growth (\$213,523)
 - No New Overrides or Exclusions
 - Excluded Debt from previous projects for FY23 = \$2,831,932
 - Maximum allowable tax levy for FY2023=\$30,854,795

History of New Growth

New Growth Dollars by Property Class

	FY2018 Budget	FY2019 Budget	FY2020 Budget	FY2021 Budget	FY2022 Budget
Residential New Growth	315,692	285,164	173,768	160,452	325,257
Open Space (OS)	0	0	0	0	0
Commercial (C)	67,664	55,209	3,187	9,272	12,096
Industrial (I)	2,336	34,901	31,840	0	0
Personal Property (PP)	95,804	97,262	157,436	139,732	92,901
CIP New Growth	165,804	187,372	192,463	149,004	104,997

TOTAL New Growth ①	481,496	472,536	366,231	309,456	430,254
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① DLS, Gateway, Taxrate, LA-13 Tax Levy Base Growth, column K

3-year average

Residential	346,848	338,051	258,208	206,461	219,826
Open Space	0	0	0	0	0
CI	30,408	45,913	42,020	22,556	8,185
PP	64,926	83,811	116,834	131,477	130,023
Total	442,182	467,775	417,062	360,494	358,034

5-year average

Residential	294,230	300,521	299,895	269,675	252,067
Open Space	0	0	0	0	0
CI	0	0	0	0	0
PP	20,995	30,974	29,924	30,040	29,486
Total	315,225	331,495	329,820	299,714	281,552

10-year average

Residential	239,990	261,078	270,504	275,212	266,930
Open Space	0	0	0	0	0
CI	0	0	0	0	0
PP	13,267	18,609	16,905	17,779	18,988
Total	253,257	279,687	287,409	292,991	285,918

FY2023- State Aid

- This budget recommendation includes the Governor's State Aid proposal
- Governor's Budget, House 1, was released on January 26, 2022
- Budget Proposal provides for additional **\$898,610** in Chapter 70 funds (**11.5%** increase) and an additional **\$31,380** in Unrestricted General Government Aid (**2.7%** increase); the total estimate for FY23 = **\$10, 390,105** (an increase of **10%** over the final FY22 State Aid)

History of State Aid

	FY2014 Budget	FY2015 Budget	FY2016 Budget	FY2017 Budget	FY2018 Budget	FY2019 Budget	FY2020 Budget	FY2021 Budget	FY2022 Budget	FY2023 Projected	% Inc. Over PFY
STATE AID CHERRY SHEET											
Chapter 70 Education Aid	5,354,696	5,605,872	5,834,483	6,351,257	7,272,505	7,538,072	7,771,740	7,773,938	7,823,618	8,722,228	11.49%
Charter Tuition Reimbursement	130,068	50,717	133,545	33,934	78,091	17,860	36,345	64,708	28,140	122,771	336.29%
Charter Facility Reimbursement								-	-	-	
Smart Growth		183,618	166,960	119,257	119,257	29,195	35,372	138,069	79,717	79,717	0.00%
School Lunch (offset)	8,087	7,451	-	-	-	-		-	-	-	
School Choice Receiving Tuition (offset)	298,593	241,290	227,741	268,906	281,212	241,647	182,658	176,265	175,332	110,280	-37.10%
Unrestricted General Government Aid	915,592	940,983	974,858	1,016,777	1,056,431	1,093,406	1,122,928	1,122,928	1,162,230	1,193,610	2.70%
Veterans Benefits	26,454	40,539	55,238	81,303	45,280	35,873	55,161	42,316	58,371	51,450	-11.86%
Exemptions VBS and Elderly	60,628	61,689	63,425	66,101	58,172	55,517	61,979	62,042	58,214	56,114	-3.61%
State Owned land	49,795	47,844	47,844	47,275	47,230	47,230	26,222	26,905	32,522	32,505	-0.05%
Police Career Incentive					-			-	-	-	
Public Libraries (offset)	11,488	14,647	14,398	14,137	14,615	15,534	16,524	20,448	22,227	21,430	-3.59%
TOTAL Cherry Sheet ③	6,855,401	7,194,650	7,518,492	7,998,947	8,972,793	9,074,334	9,308,929	9,427,619	9,440,371	10,390,105	10.06%

FY2023- Local Receipts

- Estimated Local Receipts – increased \$50,000, or 1.6% over the previous year's estimates
 - Motor Vehicle Excise Tax, licenses, permits, fees, fines, investment income
 - Elastic Revenues- very dependent upon the economy

FY2023 –Local Receipts

- Local Receipts: Estimate is an overall increase of 1.6% over the previous fiscal year estimates.

	FY2020 Actual	FY2021 Actual	FY2022 Estimate	FY2023 Estimate
1. Motor Vehicle Excise	1,813,251	1,978,799	1,721,640	1,771,640
2a. Meals Excise	134,867	125,662	100,980	100,980
2b. Room Excise			-	-
2c. Other Excise-Boat			-	-
3. Penalties/Interest on Taxes and Excises	154,669	259,184	200,000	200,000
4. Payment In Lieu of Taxes	-	3,921	1,648	1,648
5. Charges for Services-Water				
6. Charges for Services-Sewer				
7. Charges for Services-Hospital				
8. Charges for Services-Solid Waste Fees				
9. Other Charges for Services			-	-
10. Fees	165,998	200,429	176,052	176,052
11. Rentals			-	-
12. Dept. Revenue-Schools	60,207	72,688	60,207	60,207
13. Dept. Revenue-Libraries				
14. Dept. Revenue-Cemeteries	4,100	5,100	4,100	4,100
15. Dept. Revenue-Recreation			-	-
16. Other Departmental Revenue	262,555	254,362	257,370	257,370
17. Licenses/Permits	331,255	334,109	331,188	331,188
18. Special Assessments	11,844	15,468	11,844	11,844
19. Fines and Forfeits	37,183	13,263	13,263	13,263
20. Investment Income	102,340	35,585	25,000	25,000
21. Medicaid Reimbursement			-	-
22. Misc. Recurring			-	-
23. Misc. Non-Recurring	231,808	357,936	211,699	211,699
TOTAL Local Receipts-Actual ①	3,310,076	3,656,506	3,114,991	3,164,991
Difference: Actual over Budget	243,085	590,516	-	

FY2023- Available Funds

- **Available Funds**

- Uses \$1,616,692 from certified Free Cash Available for appropriation used to offset the FY23 Capital Plan, OPEB, the Special Purpose Stabilization and regular Stabilization Account.
- Uses \$40,049 from unexpended capital from previous FY towards the FY23 Capital Plan.
- MSBA Reimbursement: \$534,501 Reimbursement and associated debt payment will expire in 2023
- Water & Sewer Betterments
 - Fully funds associated debt service for water and sewer debt
- Sewer Enterprise Fund covers their Indirect Costs
- Public Access Enterprise Fund covers their Indirect Costs
- Transfers \$42,134.74 from the Artificial Turf Revolving Fund to pay the associated costs for the Artificial Turf Field Debt for FY23

FY2023-Available Funds

	FY2020	FY2021	FY2022 TM	FY23 TM
	After Recap	After Recap	After Recap	Prelim. Budget
Available Funds				
Free Cash	\$ 1,297,731.96	\$ 858,356.21	\$ 1,485,604.00	\$ 1,616,692.00
Bond Premium	\$ 6,350.49			
Unexpended Articles	\$ 171,781.68	\$ 6,825.61	\$ 111,281.58	\$ 40,049.00
Borrowing	\$ -			
Special Purpose Stabilization Fund				
MSBA Reimbursement (Both debt and Reimbursement expires in 2023)	\$ 535,316.89	\$ 535,051.19	\$ 534,779.55	\$ 534,501.26
MSBA Reserve Reimbursement Applied				
Sewer Enterprise Retained Earnings	\$ 70,805.00	\$ 72,682.00	\$ 90,587.20	\$ 105,730.27
Sewer Betterments	\$ 817,901.40	\$ 804,329.90	\$ 705,876.16	\$ 687,992.32
Water Betterments	\$ 56,837.50	\$ 55,837.50	\$ 54,837.50	\$ 58,837.50
Septic Loan Revenue	\$ -			
PEG Retained Earnings		\$ 48,000.00	\$ 46,842.00	\$ 47,948.00
Sale of Cemetery Lots	\$ 35,000.00	\$ -	\$ 15,000.00	\$ -
Artificial Turf Revolving Fund	\$ 43,500.00	\$ 46,473.00	\$ 44,318.19	\$ 42,134.74
School Transportation Fee Offset	\$ -	\$ -	\$ -	\$ -
total:	\$ 3,035,224.92	\$ 2,427,555.41	\$ 3,089,126.18	\$ 3,133,885.09
Dollar Increase Over Prior Year	\$ 365,682	\$ (607,670)	\$ 661,571	\$ 44,759
Percentage Increase Over Prior Year	13.70%	-20.02%	27.25%	1.45%

Grants, Earmarks, Federal and State Funding:

- In Fiscal Year 2022 the following is a list of the types grants, donations, earmarks, federal and state funding that were received:
 - Police:
 - Applied for DOJ Bullet Proof Vest Grant
 - Fire:
 - State Student Awareness of Fire Education Grant and Senior SAFE Grant: \$6,789
 - State Emergency Management Preparedness Grant: \$3,500
 - EOPPS AED Equipment Program: \$2,500
 - State Safety Equipment Grant: \$19,000
 - Donations from private donors and MEMA of PPE
 - Lunenburg Firefighter's Association for forcible entry training prop: \$5-6,000
 - DPW:
 - Applied for MassDOT Small Bridge Program for Flat Hill Culvert: Up to \$500,000
 - Library:
 - State Aid (on Cherry Sheet as Offset Receipt): \$15,000
 - Friends of the Library: \$15,000
 - Gift Fund: \$500
 - Revolving Fund: \$1,500

Grants, Earmarks, Federal and State Funding:

➤ Senior Center:

- State Formula Grant: \$25,272
- Eagle House Supporters: \$12,500
- Community Foundation Grant: \$7,500
- COA Gift Fund: \$4,041
- Cultural Council: \$750
- Friends of Nashoba Valley Hospital: \$300

➤ Town Manager:

- Recycling Dividends Program Grant: \$6,600
- MIIA Risk Management Grant: \$10,000
- Applied for MIIA Wellness Grant: \$13,430

➤ School:

- Elementary and Secondary School Emergency Relief II: \$588,834
- Elementary and Secondary School Emergency Relief III: \$1,351,034
- Other COVID Grants: \$298,636 (competitive grants)
- State Grants: \$145,700 (one a competitive grant)
- Federal Grants: \$634,978

➤ State and Federal Funding to the Town:

- ARPA Funding: \$3.5M
- FY 2022 State ARPA funds for \$50,000 for Hazardous Materials Abatement at 30 School Street
- FY2022 State Earmark for \$40,000 for the LED Lighting at Library

FY2023 Expenditures

Expenditures

- Expenditures are a reflection of the cost of providing a level of services to residents of all ages in our community, to visitors traveling or doing business in Lunenburg, and maintaining or improving our assets.
- As a town, we provide services to students, we provide health and human services to seniors and veterans, recreational services, public safety to all
- The balance is to provide the best services possible given the available resources, maintain our assets, and plan for the future by putting funding into reserves.

Expenditures

- Expenditures are divided into the following categories:
 - Departments
 - Non-Appropriated Costs: Cherry Sheet Offset Charges, Allowance for Abatements, Tax Title, Retirement Assessment
 - Sewer Enterprise Fund
 - Water Enterprise Fund
 - Solid Waste Disposal Enterprise Fund
 - Cable Access Enterprise Fund
 - Other Warrant Articles with a Financial Impact including transfers into Stabilization accounts, OPEB Trust Fund, and Capital Plan

FY2023 Target Budget Highlights

- Police- Approx. **\$30k** for add'l Patrol Officer (1/2 Year)
- Fire – **\$70k** for add'l Career Firefighter
- DPW- **\$50K** for Pavement Management
- Lunenburg Public Schools-**\$541K** for a 2.5% increase
- Monty Tech Assessment- **\$22K** for a 2.5% increase
- Worcester Reg. Retirement-**\$153K** or 10% increase
- Health Insurance-**\$140K** more than final FY22 budget based on 8% rate increase for active employees and 5% rate increase for town and school retirees

FY2023 TM Preliminary Budget:

- General Govt: Funds the target and above target requests for a PT technical support position, a PT clerical position for Conservation, addresses wages for Registration Workers, additional hours for Assistant Tax Collector, and increases in software, hardware, website, internet costs
- Police- Funds target for additional FT Officer for ½ year and above target requests for a PT clerical position, leasing a motorcycle, funds for retirement of officer, addresses ACO wages
- Fire – Funds target budget and **\$10K** of above target request.
- Facilities- Funds target and **\$85K** of above target request for a Facilities Director position.
- DPW- Includes additional **\$50K** for Pavement Management
- COA- Includes restructuring the Meal Site Manager program and adding a new PT position
- Veterans- Addresses wages of VSO
- Library- Includes adding 2 PT library positions to open on Fridays, related heating costs, increase in programming funds, CWMARS cost increase due to population, and exceeds the min. 16% towards Library Materials
- Worcester Reg. Retirement: Our assessment came in at a **10.32% increase** or **\$158K** more than the previous FY.
- Health Insurance- Currently includes a **6% rate increase** for active employees and **5% rate increase** for retirees. Actual renewal by the beginning of March. The overall increase at this point is **\$124,141**
- Lunenburg Public Schools – Recommendation fully funds the Superintendent's Proposed Budget of **3.11% increase for an additional \$673,617**
- Monty Tech- Recommendation includes a **21% increase or \$180,701**
- Solid Waste/Recycling Program- Reduces this account by **-\$42,000** based on this year's

FY2023 Expenditures

	FY2022 After Recap	FY2023 TM Prelim. Budget	FY23 Prelim. Budget Dollar Inc. over PFY	FY23 Prelim. Budget % of total increase
Expenditures:				
General Fund Expenditures:				
General Government	\$ 1,738,191	\$ 1,792,492	\$ 54,301	3.06%
Central Purchasing	\$ 75,580	\$ 77,800	\$ 2,220	0.13%
Police	\$ 2,030,691	\$ 2,146,949	\$ 116,258	6.55%
Fire	\$ 1,403,190	\$ 1,568,216	\$ 165,025	9.30%
Radio Watch	\$ 304,679	\$ 318,304	\$ 13,625	0.77%
Other Protection	\$ 205,151	\$ 214,405	\$ 9,254	0.52%
Department of Public Works	\$ 1,944,012	\$ 2,031,294	\$ 87,282	4.92%
Public Buildings & Facilities	\$ 799,489	\$ 884,566	\$ 85,077	4.79%
Solid Waste	\$ 354,634	\$ 312,634	\$ (42,000)	-2.37%
Health & Sanitation	\$ 89,540	\$ 99,260	\$ 9,720	0.55%
Council on Aging	\$ 167,318	\$ 183,629	\$ 16,311	0.92%
Veterans	\$ 105,775	\$ 110,775	\$ 5,000	0.28%
Lunenburg Public Schools	\$ 21,669,378	\$ 22,342,995	\$ 673,617	37.95%
Monty Tech Assessment	\$ 876,289	\$ 1,056,990	\$ 180,701	10.18%
Library	\$ 439,541	\$ 492,984	\$ 53,443	3.01%
Debt Service	\$ 4,562,594	\$ 4,497,723	\$ (64,870)	-3.66%
Unclassified	\$ 3,130,386	\$ 3,382,151	\$ 251,765	14.19%
Retirement Assessment	\$ 1,531,070	\$ 1,689,147	\$ 158,077	8.91%
			\$ -	
sub-total:	\$ 41,427,508	\$ 43,202,314	\$ 1,774,806	4%

FY2023 Expenditures-

Non-Discretionary- Debt Service

	FY2020	FY2021	FY2022	FY2023 TM	Dollar Increase
	After Recap	After Recap	After Recap	Prelim. Budget	Over PY
Total: Debt Service	\$ 4,681,672	\$ 4,699,521	\$ 4,562,594	\$ 4,497,723	\$ (64,870)
offsets:					
Tax, Outside Prop 2 1/2	\$ 2,947,348	\$ 2,852,779	\$ 2,828,812	\$ 2,831,932	\$ 3,120
Sewer Betterment	\$ 817,901	\$ 804,329	\$ 705,876	\$ 687,992	\$ (17,884)
Water Betterment	\$ 56,838	\$ 55,838	\$ 54,838	\$ 58,838	\$ 4,000
MSBA	\$ 535,317	\$ 535,051	\$ 534,780	\$ 534,501	\$ (278)
Net Impact: General Fund	\$ 324,269	\$ 451,524	\$ 438,288	\$ 384,460	\$ (53,828)

Total appropriation for FY2023 Debt Service = \$4,497,723

FY2023 Expenditures

Non-Discretionary –Debt Service

Debt		FY2022	FY2023	FY2024	FY2025	FY2026	FY2027
	Issue Date	Budget	Projected	Projected	Projected	Projected	Projected
Total General Fund Regular Debt		\$ 492,914.02	\$ 443,112.38	\$ 331,110.15	\$ 314,208.65	\$ 148,739.74	\$ 155,539.25
Total General Fund Excludable Debt		\$ 3,363,591.91	\$ 3,366,433.55	\$ 2,537,672.52	\$ 2,313,902.52	\$ 2,213,677.52	\$ 2,199,352.52
Total General Fund Short-term Interest		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Sewer Debt		\$ 702,691.70	\$ 685,558.29	\$ 645,143.85	\$ 310,433.44	\$ 183,792.63	\$ 181,593.46
Grand Total Debt Service		\$ 4,559,197.63	\$ 4,495,104.22	\$ 3,513,926.52	\$ 2,938,544.61	\$ 2,546,209.89	\$ 2,536,485.23
Premiums/MSBA Reimb Excludable Debt		\$ 534,779.55	\$ 534,501.26	\$ 59,968.64	\$ 4.19	\$ -	\$ -
Net Excludable Debt - Tax Levy - DE1		\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52	\$ 2,199,352.52
Regular Debt Administrative Fees		\$ 211.51	\$ 185.10	\$ 158.15	\$ 130.66	\$ 102.62	\$ 74.01
Sewer Debt Administrative Fees		\$ 3,184.46	\$ 2,434.03	\$ 1,672.43	\$ 1,234.72	\$ 1,127.85	\$ 1,019.12
Transfer from Sewer Enterprise - Sewer Debt Service		\$ 705,876.16	\$ 687,992.32	\$ 646,816.28	\$ 311,668.16	\$ 184,920.48	\$ 182,612.58
Transfer from Septic Receipts Reserved							
Meadow Woods Water Betterment Revenue		\$ 54,837.50	\$ 58,837.50	\$ 57,587.50	\$ 56,337.50	\$ 55,087.50	\$ 58,837.50
Transfer from Artificial Turf Revolving		\$ 44,318.19	\$ 42,134.74	\$ 39,321.78	\$ 41,478.43	\$ 38,453.78	\$ 35,396.90
Net Regular Debt Service		\$ 393,969.84	\$ 342,325.24	\$ 234,359.02	\$ 216,523.38	\$ 55,301.08	\$ 61,378.86
% of Net Regular Debt to Levy (cap of 4% per Policy)		1.45%	1.22%	0.81%	0.72%	0.18%	0.19%
Net Excludable Debt		\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52	\$ 2,199,352.52
% of Excludable Debt to Total Levy (cap of 11% per Policy)		9.44%	9.18%	7.86%	7.13%	6.61%	6.37%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)		10.76%	10.29%	8.60%	7.80%	6.78%	6.55%

FY2023 Expenditures, Non-Discretionary-General Government Unclassified

- Insurance Estimates

- Liability and Worker's Compensation include a 5% estimated increase. Actual renewals are received in March.
- Police/Fire Injured on Duty insurance is level funded.
- Health Insurance Renewal estimate is 6% rate increase for active employees and 5% rate increase for retirees:
 - 34% of Health Insurance budget is for active town employees; 17% is retiree health insurance for town employees and 49% is retiree health insurance for school employees. The active portion is approx. \$828K out of the \$2.45M. School retirees account for \$1.2M and Town retirees account for \$414K.
 - Retirees renewal is on a calendar year basis and is based on a 5% increase for MedEx2, Managed Blue and Medicare.
 - We will receive our Health Insurance renewals by the beginning of March.

FY2023 Expenditures, Non-Discretionary- Worcester County Retirement Assessment

Summary of Member Data	Total
Active Members	168.57
Average Age	45.60
Average Service	8.70
Valuation Salary	6,631,003.00
Average Salary	\$38,778.00
Retired Members & Beneficiaries	95.00
Average Age	73.50
Total Annual Pension	1,942,829.00
Average Annual Pension	\$20,451.00
Disabled Members - Accidental	3.00
Average Age	75.60
Total Annual Pension	77,886.00
Average Annual Pension	\$25,962.00
Disabled Members- Ordinary	1.00
Average Age	54.70
Total Annual Pension	6,828.00
Average Annual Pension	\$6,828.00
Inactive Members	51.00
Annuity Savings Fund	\$715,773.00

FY2023 Expenditures, Non-Discretionary- Worcester County Retirement Assessment

Unfunded Actuarial Accrued Liability as of January 1, 2020		
Summary of Member Data		Total
Actuarial Accrued Liability		
Active Members		15,524,599.00
Retired Members & Beneficiaries		19,347,046.00
Disabled Members, Accidental		653,538.00
Disabled Members, Ordinary		114,209.00
Inactive Members		715,773.00
total AAL=		36,355,165.00
Unfunded Actuarial Accrued Liability (UAAL)		
Actuarial Accrued Liability		36,355,165.00
Actuarial Value of Assets		16,660,420.00
Unfunded Actuarial Accrued Liability		19,694,745.00
FY2023 Assessment		
Employer Normal Cost (Benefit - Employee Contrib + Admin Costs)		479,962.00
Payment on UAL		1,240,310.00
Payment on 2002 ERI		
Payment on 2003 ERI		
Payment on 2010 ERI		
Total Assessment:		1,720,272.00
early payment discount		(31,125.00)
Total if paid on July 1st		1,689,147.00

FY2023 Expenditures, Non-Discretionary- Worcester County Retirement Assessment

FY2023 Appropriation Breakout				
Department	Employer Normal Cost	Payment on UAL	Total Appropriation	If Total Appropriation is Paid on 7/1
Town	\$266,468	\$815,983	\$1,082,451	\$1,062,867
Sewer	\$5,326	\$11,072	\$16,398	\$16,101
School	\$202,126	\$407,045	\$609,171	\$598,149
Town/School	\$6,042	\$6,210	\$12,252	\$12,030
Total	\$479,962	\$1,240,310	\$1,720,272	\$1,689,147

FY2023 Expenditures-Non-Appropriated Expenditures

	FY2020	FY2021	FY2022	FY2023	Dollar Increase
	Final	Final	Final	Prelim	Over PFY
Cherry Sheet Charges	\$ 1,082,507	\$ 1,036,576	\$ 1,102,728	\$ 1,134,931	\$ 32,203
Cherry Sheet Offsets	\$ 199,182	\$ 199,182	\$ 197,559	\$ 131,710	\$ (65,849)
Overlay	\$ 174,997	\$ 115,887	\$ 123,089	\$ 120,000	\$ (3,089)
Tax Title	\$ 24,000	\$ 24,000	\$ 24,000	\$ 29,000	\$ 5,000
sub-total:	\$ 1,480,686	\$ 1,375,645	\$ 1,447,376	\$ 1,415,641	\$ (31,735)
Cherry Sheet Charges and Cherry Sheet Offsets reflect the estimate used to finalize the FY 2021 budget at the STM and when the tax rate was set.					

Noteworthy Highlights:

- Cherry Sheet Charges increased and Cherry Sheet Offsets have decreased from the previous fiscal year for an overall decrease of \$33,646.
- The Overlay Account is funded at \$120K and Tax Title has increased by \$5,000.

FY2023 Expenditures- Capital, OPEB, Stabilization

	FY2020	FY2021	FY2022	FY2023 TM	Dollar Increase
	After Recap	After Recap	After Recap	Prelim. Budget	Over PY
Other Warrant Articles:					
Capital Articles	\$ 1,684,100	\$ 1,142,213	\$ 1,597,825	\$ 1,740,049	\$ 142,224
Prior Year Expenses	\$ 500	\$ 626	\$ 8,165		\$ (8,165)
OPEB Liability	\$ 150,000	\$ 110,000	\$ 180,418	\$ 266,692	\$ 86,274
Stabilization Fund	\$ 100,000	\$ 422,252	\$ 100,000	\$ 100,000	
Special Purpose Stabilization Fund	\$ 288,222	\$ 250,000	\$ 250,000	\$ 250,000	
Health Insurance Stabilization Fund			\$ 369,334		\$ (369,334)
sub-total:	\$ 2,222,822	\$ 1,925,091	\$ 2,136,408	\$ 2,356,741	\$ 220,333

FY2023 Capital

TM Priority #	CPC Priority #	Collins Pts	CIP#	Dept.	Project Name	Category	FY 23 Projected
3	1	36	FM22-01	Infrastructure	PSB Enginnering Design for Drainage	Town Facilities	\$ 25,000.00
2	2	47	DPW17-08	DPW	10-Wheel, plow & sand Repl. 1994 Mack	Vehicles	\$ 250,000.00
4	3	52	FM22-04	Facilities	Senior Center, HVAC Upgrades	Town Facilities	\$ 25,000.00
1	4	81	INFRA21-02	Infrastructure	Page Street Construction	Highway	\$ 150,000.00
5	5	70	GG22-01	Planning Board	Master Plan	Gen. Govt	\$ 110,000.00
6	6	41	DPW22-03	DPW	Two Way Radio System	Highway	\$ 35,000.00
7	7	69	PD22-01	Police	Canine Replacement	Police	\$ 24,250.00
8	8	54	PD20-03	Police	Police Marked Ford Interceptor Hybrid -Addition to Fleet	Police	\$ 62,000.00
9	9	66	FM19-05	Facilities	Town Hall Repairs- Vertex Year 2 Items 7-11 & 13	Town Facilities	\$ 96,000.00
10	10	60	INFRA21-05	Infrastructure	Flat Hill Road Drainage Design	Highway	\$ 45,000.00
14	11	30	INFRA22-03	Facilities	Marshall Park Survey	Town Facilities	\$ 25,000.00
12	12	67	GG22-02	Town Manager	Records Retention	Gen. Govt	\$ 62,500.00
13	13	46	DPW21-01	DPW	Utility Tractor/Rotary Mower Combo	Highway	\$ 170,000.00
11	14	61	LPS19-05	Schools	One Ton Dump Truck with Plow	Schools	\$ 58,833.00
15	15	61	FM21-05	Facilities	Senior Center, Vertex Items #4, 7 (1998 Roof Replacement)	Town Facilities	\$ 35,661.00
16	16	37	DPW17-09	DPW	One Ton Dump Truck with Plow	Highway	\$ 58,000.00
18	17	47	FM21-06	Facilities	Brooks House-Vertex Items #3, #4 Foundation	Town Facilities	\$ 24,000.00
17	18	42	LPS19-10	Schools	Mower	Schools	\$ 45,000.00
19	19	54	PD16-14-2	Police	Police Marked Ford 150 Responder - Addition to fleet	Police	\$ 67,805.00
20	20	53	FM19-08A	Facilities	Old Primary-Vertex Haz. Matls Abatement	Town Facilities	\$ 371,000.00
							\$ 1,740,049.00
				Funding:	Raise & appropriate		700,000
					Free cash		1,000,000
					Unexpended Capital		40,049
					Premium Reserved for Capital		
					Special Purpose Stabilization Account		
					Total Available Funding		1,740,049

FY2023 Preliminary Budget

Recap of Less Discretionary & Discretionary Expenditures

The FY 2023 Budget Recommendation reflects requests to increase the staffing levels for certain departments:

- Includes One Additional Police Officer for ½ year
- Includes One Additional Career Firefighter
- Creates a new FT Facilities Director position
- Creates part time clerical support for Police Department and Conservation
- Restructures COA Meal Site Program by adding one PT position
- Creates part time technical support position
- Creates two part time library positions to open on Fridays
- Adds four hours for the Assistant Tax Collector
- Addresses wages for various staff that were less than State Min. Wage
- Includes LPS priority needs identified in the Superintendent's 3.11% budget
- Includes a 21% increase for the Montachusett Technical Assessment based on minimum required

Education

- **Lunenburg Public Schools:**

- Preliminary Budget Recommendation is a 3.11% increase that meets the funding required in the Superintendent's proposed budget to the SC in January;
- Any further reductions in active health insurance costs will increase funds available for FY23 operations;
- The Superintendent's January FY23 proposed budget includes 5 new positions through local appropriation and 3 new positions through grant funds. Will seek add'l grant funds that become available.

- **Montachusett Regional High School:**

- Preliminary Budget Recommendation is a 21% increase. We receive our assessment around the beginning of March. The assessment may be positively offset with the availability of other funds to offset the increase.

FY23 Required Local Contribution for Education

Massachusetts Department of Elementary and Secondary Education
Office of School Finance



FY23 Chapter 70 Apportionment of Local Contribution Across School Districts

162 Lunenburg	Lunenburg	Montachusett	Combined Total for All Districts
<u>Prior Year Data (for comparison purposes)</u>			
1 FY22 foundation enrollment	1,656	83	1,739
2 FY22 foundation budget	18,408,485	1,471,017	19,879,502
3 Each district's share of municipality's combined FY22 foundation	92.60%	7.40%	100.00%
4 FY22 required contribution	10,908,378	871,685	11,780,063
<u>FY23 apportionment of contribution among community's districts</u>			
5 FY23 total unapportioned required contribution ('municipal contribution' tab row 19 or 25)			12,346,684
6 FY23 foundation enrollment	1,671	94	1,765
7 FY23 foundation budget	20,056,630	1,791,269	21,847,900
8 Each district's share of municipality's total FY23 foundation	91.80%	8.20%	100.00%
9 FY23 Required Contribution	11,334,402	1,012,282	12,346,684
10 Change FY23 to FY22 (9 - 4)	426,024	140,597	566,621

FY23 Monty Tech Required Minimum Contribution

Massachusetts Department of Elementary and Secondary Education

Office of School Finance

FY23 Chapter 70

Regional District Enrollment and Contributions by Member City or Town

The table below presents the minimum required local contribution for each member to the selected regional district.

Note: A city or town might belong to more than one regional district (e.g., a regional district and a vocational district) and therefore be required to contribute to multiple districts. See the *regional allocation* tab for a full list of minimum required contributions for each city or town.

Foundation enrollments are presented as whole numbers. The change column reflects differences prior to rounding.



832 Montachusett

LEA	Member	Foundation Enrollment in Regional District			Required Minimum Contribution to Regional District		
		FY22	FY23	Change	FY22	FY23	Change
	Total	1,461	1,467	6	10,458,906	10,715,954	257,048
	11 Ashburnham	70	67	-3	564,187	548,196	-15,991
	12 Ashby	37	34	-3	388,431	337,357	-51,074
	15 Athol	113	114	1	326,630	327,378	748
	21 Barre	48	50	2	344,548	349,848	5,300
	97 Fitchburg	384	375	-9	1,656,184	1,655,228	-956
	103 Gardner	178	177	-1	1,061,288	1,062,724	1,436
	125 Harvard	4	8	4	58,486	122,883	64,397
	134 Holden	88	107	19	923,793	1,156,707	232,914
	140 Hubbardston	42	46	4	460,621	480,261	19,640
	162 Lunenburg	83	94	11	871,685	1,012,282	140,597
	234 Petersham	5	8	3	60,677	90,327	29,650
	235 Phillipston	18	21	3	198,878	212,584	13,706
	241 Princeton	29	26	-3	424,025	385,080	-38,945
	255 Royalston	12	8	-4	78,817	53,753	-25,064
	282 Sterling	64	62	-2	935,779	948,973	13,194
	294 Templeton	89	87	-2	604,441	570,693	-33,748
	328 Westminster	81	73	-8	800,710	742,053	-58,657

FY2023 Expenditures-

Conclusions

- Includes Governor's Budget Proposal for State Aid- figures which are subject to change.
- Fully funds all contractual obligations and increased costs for non-personnel related expenditures.
- Balanced based upon use of recurring revenues for operating costs; no draw on Stabilization Fund or Free Cash for operating expenses.
- Maintains existing staff with additional 3 FTE and 6 PTE town employees.
- Preliminary budget same as Superintendent's proposed FY23 budget.
- Preliminary budget leaves an unappropriated balance of \$514K that can backfill any unknown increases, increase funding for Capital Plan, and any funding needed for ATM articles.
- Current recommendation leaves a balance of \$1.05M of Free Cash that can be used for financial warrant articles, increase funding for the FY23 Capital Plan, used on FY22 Snow and Ice Deficit, or deposited into stabilization. Recommend leaving a portion to fall to next year's free cash.

Looking Ahead

FY23-27 Projected Debt & Capacity

		FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected	FY2027 Projected
Net Regular Debt Service		\$ 342,325.24	\$ 234,359.02	\$ 216,523.38	\$ 55,301.08	\$ 61,378.86
% of Net Regular Debt to Levy (cap of 4% per Policy)		1.22%	0.81%	0.72%	0.18%	0.20%
Net Excludable Debt		\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52	\$ 2,199,352.52
% of Excludable Debt to Total Levy (cap of 11% per Policy)		9.18%	7.86%	7.13%	6.61%	6.55%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)		10.29%	8.60%	7.80%	6.78%	6.74%
Levy Limit w/o Debt Exclusions		\$28,022,863.00	\$29,060,581.00	\$30,142,815.00	\$31,252,104.00	\$32,333,407.00
Levy Limit w/ Debt Exclusions		\$30,854,795.29	\$31,538,284.88	\$32,456,713.33	\$33,465,781.52	\$34,532,759.52
Max Net Regular Debt (4%)		\$ 1,120,914.52	\$ 1,162,423.24	\$ 1,205,712.60	\$ 1,250,084.16	\$ 1,293,336.28
Max Net Excludable Debt (11%)		\$ 3,394,027.48	\$ 3,469,211.34	\$ 3,570,238.47	\$ 3,681,235.97	\$ 3,556,674.77
Max Aggregate Debt (14%)		\$ 4,319,671.34	\$ 4,415,359.88	\$ 4,543,939.87	\$ 4,685,209.41	\$ 4,526,676.98
Annual Debt Capacity Reg.		\$ 778,589.28	\$ 928,064.22	\$ 989,189.22	\$ 1,194,783.08	\$ 1,231,957.42
Annual Debt Capacity Excludable		\$ 562,095.19	\$ 991,507.46	\$ 1,256,340.14	\$ 1,467,558.45	\$ 1,357,322.25
Annual Debt Capacity Agg.		\$ 1,145,413.81	\$ 1,703,296.98	\$ 2,013,518.16	\$ 2,416,230.81	\$ 2,265,945.60

Five Year Tax Rate Impact

Fiscal Year:		2022	2023	2024	2025	2026	2027
Total Assessed value		1,742,668,830	1,777,522,207	1,813,072,651	1,849,334,104	1,886,320,786	1,924,047,202
% change		2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Single Family Average Assessed Value		294,961	300,860	306,877	313,015	319,275	325,660
% change		2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Levy ceiling		43,566,721	44,438,055	45,326,816	46,233,353	47,158,020	48,101,180
Levy Limit to Levy Ceiling Ratio		0.61	0.63	0.63	0.64	0.65	0.66
Levy Limit (w/o debt exclusions)	2.5%	26,700,809	27,809,340	28,723,434	29,749,020	30,800,245	31,877,752
New Growth		430,254	213,523	300,000	300,000	300,000	300,000
New Levy Limit		27,131,063	28,022,863	29,023,434	30,049,020	31,100,245	32,177,752
Levy as percent of Levy Limit		100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Add Override / (Underride as negative)		0	0	0	0	0	0
Tax rate impact		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Levy (taxation)		27,131,063	28,022,863	29,023,434	30,049,020	31,100,245	32,177,752
Base tax rate - w/o debt exclusions		15.57	15.77	16.01	16.25	16.49	16.72
Annual Tax Rate Change -w/o debt exclusions		(\$0.42)	\$0.20	\$0.24	\$0.24	\$0.24	\$0.24
Add Debt Exclusion		2,828,812	2,831,932	2,477,703	2,313,898	2,213,677	2,199,352
Tax Levy		29,959,875	30,854,795	31,501,137	32,362,918	33,313,922	34,377,104
Tax rate impact		\$1.62	\$1.59	\$1.37	\$1.25	\$1.17	\$1.14
Adjusted tax rate		\$17.19	\$17.36	\$17.37	\$17.50	\$17.66	\$17.87
Annual Tax Rate Change		(\$0.55)	\$0.17	\$0.02	\$0.13	\$0.16	\$0.21

FY2023 Budget Calendar

- Departments will present a more in-depth review of their programs, services, and needs during individual presentations beginning on February 24th
- House Ways & Means Budget, end of April
- Senate Budget, end of May
- Town Meeting: May 7th
- State Budget: Conference Committee by June 30th with State Aid typically finalized by July

FinCom Budget Meeting Schedule

Thursday, February 17, 2022		
	7:00	Town Manager's Budget Presentation
Thursday, February 24, 2022		
	7:00	Council on Aging
	7:30	Library
	8:00	Land Use
Thursday, March 3, 2022		
	7:00	Fire
	8:00	Police
Thursday, March 10, 2022		
	7:00	Monty Tech
	8:00	DPW
Thursday, March 17, 2022		
	7:00	Lunenburg Public Schools
	8:00	Information Technology
	8:30	Administration, Unclassified, Debt Service
Thursday, March 24, 2022		
	7:00	Public Access Committee
	7:30	Sewer
	8:00	Other Monied Articles
Thursday, March 31, 2022		
	7:00	FY2023 Budget Public Hearing and Vote on Recommendations